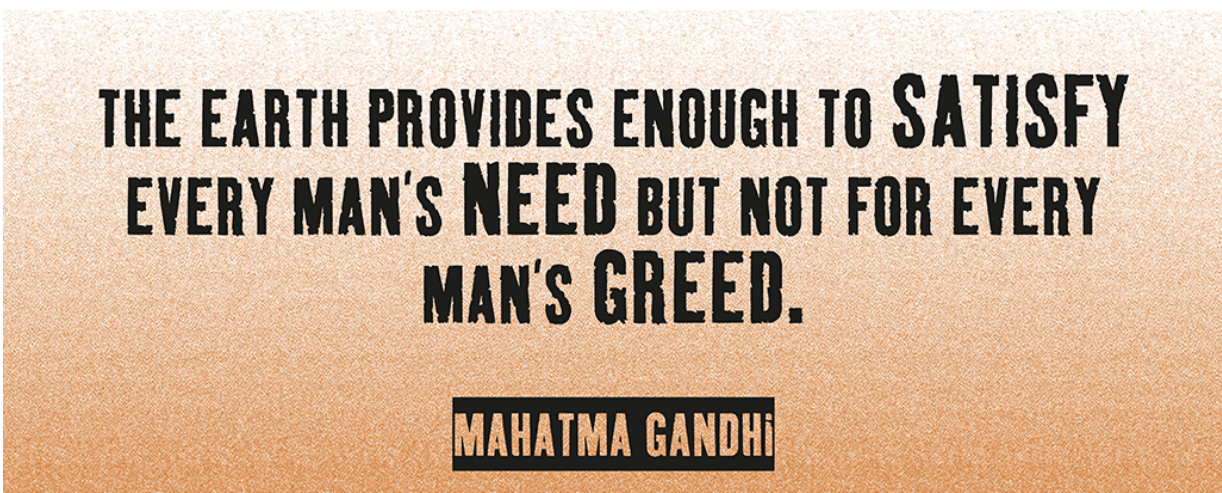


What we want and need

Our needs and wants change constantly and seem to be unlimited, but the things we need to meet these demands are limited. Economists use the word “scarcity” to describe this situation: a thing is said to be scarce when there is less of it than is required. If whatever we wanted was available in unlimited quantities, there would be no problem satisfying our unlimited needs.

Practically, however, resources are scarce, and fall short of requirements as much in rich countries as in poor. There are many different kinds of resources that economists have identified as necessary. The most obvious ones are natural resources, such as water, that we obtain directly from the environment. They also include plants that grow naturally, or animals that live in the wild, which we can use for food. There are also ways we can use the land, by farming to produce crops or by mining to extract resources such as coal. Sometimes called “land resources”—but which include resources we get from the sea—these provide us with raw materials to produce goods we need. But the amount of land in the world is finite and can’t provide unlimited resources. While we can continue growing food, or using renewable energy sources like sun or wind power, other resources will eventually run out.



Making things